

EQUITY: HANDSETS

### Accelerating business transformation

SP weakness weighs on short-term earnings; new business directions look interesting, but will take time to bear fruit

**Action: maintain Buy with a lower TP of HKD62**

We trim our 2026F earnings forecast for AAC by 11.3%, given the headwind of a smartphone (SP) market decline, but raise our 2027F earnings by 6% due to AAC's expansion into new businesses such as liquid cooling, robotics, and new AI devices. We maintain Buy, as we believe AAC is extending its business scope into a host of new fields through effective M&As, and those new businesses exhibit long-term potential considering the rapidly developing AI landscape. We lower our TP to HKD62, based on 18x 2027F EPS of CNY3.08 (vs. previously HKD65.4, based on 22x 2026F EPS of CNY2.75). Owing to the challenging SP market and uncertainties stemming from the new businesses, we have lowered our target P/E multiple from 22x to 18x, which is still around the mid-to-high range of its historical (10-25x) P/E band over the past 10 years.

**Thermal solutions likely to lead growth in 2026E**

AAC expects double-digit group revenue growth in 2026E. The company estimates >14% y-y global SP unit decline in 2026E, which should drag the Acoustics and Electromagnetic Drives segment (single-digit y-y growth expected) and the Optics segment – management guides for 15-20%/20%+ decline in full-year revenues for handset lenses/camera modules. The Precision Mechanics and Heat Dissipation businesses should lead the growth at >30% y-y, supported mainly by the rising penetration of vapor chambers (VCs) into more new models in 2H26E. AAC believes the mix will therefore support a steady improvement in GM in 2H26E from 22.4% in 1H26.

**Exploring new addressable markets, organically and inorganically**

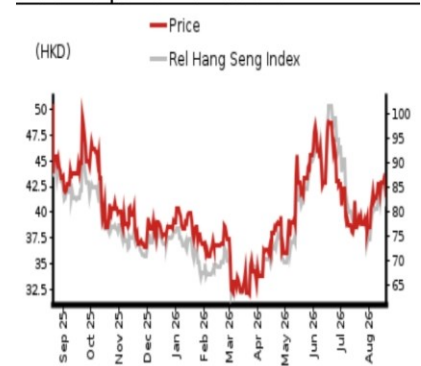
AAC actively seeks new growth drivers, estimating CNY8-9bn of new revenue streams in 2027E on the back of: **(1) CNY5bn from VCs and active cooling fans** in consumer electronics; **(2) CNY1.5bn from AI wearables and gimbals**, in which an AI LLM company's wearable devices could contribute CNY1bn; **(3) CNY1bn from CDU and QD/cold plates**, in which newly acquired Yuandi (unlisted) has delivered 2.2MW/2.6MW CDUs and will introduce 3MW CDU in 2027E for an incremental CNY600-800mn annual revenue; **(4) CNY400-700mn from robotics motors and components**; **(5) CNY500mn from XR** after integration of a waveguide designer Dispelix (unlisted) and AAC's internal light engine team to tap into North American customers' key projects; and **(6) CNY100mn from wafer-level glass in optical communication**, where AAC collaborates with a North American optical communication solution provider.

| Year-end 31 Dec            | FY25     |          | FY26F    |          | FY27F    |     | FY28F    |  |
|----------------------------|----------|----------|----------|----------|----------|-----|----------|--|
| Currency (CNY)             | Actual   | Old      | New      | Old      | New      | Old | New      |  |
| Revenue (mn)               | 31,817   | 35,795   | 34,584   | 38,431   | 40,127   | 0   | 43,828   |  |
| Reported net profit (mn)   | 2,511    | 3,187    | 2,826    | 3,315    | 3,513    | 0   | 4,010    |  |
| Normalised net profit (mn) | 2,511    | 3,187    | 2,826    | 3,315    | 3,513    | 0   | 4,010    |  |
| FD normalised EPS          | 2.18     | 2.75     | 2.48     | 2.86     | 3.08     |     | 3.51     |  |
| FD norm. EPS growth (%)    | 41.9     | 15.7     | 13.8     | 4.0      | 24.3     |     | 14.1     |  |
| FD normalised P/E (x)      | 16.2     | –        | 14.3     | –        | 11.3     | –   | 9.9      |  |
| EV/EBITDA (x)              | 6.2      | –        | 5.3      | –        | 4.0      | –   | 3.0      |  |
| Price/book (x)             | 1.7      | –        | 1.3      | –        | 1.2      | –   | 1.1      |  |
| Dividend yield (%)         | 0.6      | –        | 0.9      | –        | 1.1      | –   | 1.3      |  |
| ROE (%)                    | 10.4     | 10.8     | 10.2     | 10.3     | 11.0     |     | 11.4     |  |
| Net debt/equity (%)        | net cash | net cash | net cash | net cash | net cash |     | net cash |  |

Source: Company data, Nomura estimates

|                     |           |
|---------------------|-----------|
| Rating              | Buy       |
| Remains             |           |
| Target price        | HKD 62.00 |
| Reduced from        | HKD 65.40 |
| Closing price       | HKD 39.12 |
| 20 August 2026      |           |
| Implied upside      | +58.5%    |
| Market Cap (USD mn) | 5,764.5   |
| ADT (USD mn)        | 37.6      |

Relative performance chart



Source: LSEG, Nomura

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# Key data on AAC Technologies

## Performance

| (%)                    | 1M   | 3M   | 12M   |                   |         |
|------------------------|------|------|-------|-------------------|---------|
| Absolute (HKD)         | 0.5  | -6.9 | -22.3 | M cap (USDmn)     | 5,764.5 |
| Absolute (USD)         | 0.4  | -7.0 | -22.6 | Free float (%)    | 50.0    |
| Rel to Hang Seng Index | -0.9 | -6.2 | -23.6 | 3-mth ADT (USDmn) | 37.6    |

## Income statement (CNYmn)

| Year-end 31 Dec        | FY24    | FY25    | FY26F   | FY27F   | FY28F   |
|------------------------|---------|---------|---------|---------|---------|
| Revenue                | 27,328  | 31,817  | 34,584  | 40,127  | 43,828  |
| Cost of goods sold     | -21,286 | -24,801 | -26,503 | -30,804 | -33,774 |
| Gross profit           | 6,042   | 7,016   | 8,082   | 9,324   | 10,054  |
| SG&A                   | -3,962  | -4,427  | -4,929  | -5,306  | -5,466  |
| Employee share expense |         |         |         |         |         |
| Operating profit       | 2,080   | 2,589   | 3,153   | 4,017   | 4,589   |
| EBITDA                 | 4,914   | 5,283   | 6,159   | 7,299   | 8,058   |
| Depreciation           | -2,835  | -2,694  | -3,007  | -3,282  | -3,469  |
| Amortisation           |         |         |         |         |         |
| EBIT                   | 2,080   | 2,589   | 3,153   | 4,017   | 4,589   |
| Net interest expense   | -417    | -395    | -434    | -460    | -460    |
| Associates & JCEs      | 0       | 0       | 10      | 20      | 20      |
| Other income           | 328     | 692     | 499     | 460     | 460     |
| Earnings before tax    | 1,991   | 2,886   | 3,227   | 4,037   | 4,609   |
| Income tax             | -227    | -347    | -383    | -525    | -599    |
| Net profit after tax   | 1,764   | 2,538   | 2,844   | 3,513   | 4,010   |
| Minority interests     | 34      | -27     | -18     | 0       | 0       |
| Other items            |         |         |         |         |         |
| Preferred dividends    |         |         |         |         |         |
| Normalised NPAT        | 1,797   | 2,511   | 2,826   | 3,513   | 4,010   |
| Extraordinary items    |         |         |         |         |         |
| Reported NPAT          | 1,797   | 2,511   | 2,826   | 3,513   | 4,010   |
| Dividends              | -104    | -264    | -354    | -436    | -542    |
| Transfer to reserves   | 1,694   | 2,247   | 2,472   | 3,076   | 3,467   |

## Valuations and ratios

|                        |      |      |      |      |      |
|------------------------|------|------|------|------|------|
| Reported P/E (x)       | 23.1 | 16.2 | 14.3 | 11.3 | 9.9  |
| Normalised P/E (x)     | 23.1 | 16.2 | 14.3 | 11.3 | 9.9  |
| FD normalised P/E (x)  | 23.1 | 16.2 | 14.3 | 11.3 | 9.9  |
| Dividend yield (%)     | 0.2  | 0.6  | 0.9  | 1.1  | 1.3  |
| Price/cashflow (x)     | 8.0  | 5.7  | 16.3 | 6.7  | 5.7  |
| Price/book (x)         | 1.8  | 1.7  | 1.3  | 1.2  | 1.1  |
| EV/EBITDA (x)          | 7.2  | 6.2  | 5.3  | 4.0  | 3.0  |
| EV/EBIT (x)            | 16.9 | 12.7 | 10.4 | 7.2  | 5.3  |
| Gross margin (%)       | 22.1 | 22.1 | 23.4 | 23.2 | 22.9 |
| EBITDA margin (%)      | 18.0 | 16.6 | 17.8 | 18.2 | 18.4 |
| EBIT margin (%)        | 7.6  | 8.1  | 9.1  | 10.0 | 10.5 |
| Net margin (%)         | 6.6  | 7.9  | 8.2  | 8.8  | 9.1  |
| Effective tax rate (%) | 11.4 | 12.0 | 11.9 | 13.0 | 13.0 |
| Dividend payout (%)    | 5.8  | 10.5 | 12.5 | 12.4 | 13.5 |
| ROE (%)                | 7.9  | 10.4 | 10.2 | 11.0 | 11.4 |
| ROA (pretax %)         | 5.8  | 6.5  | 7.5  | 9.1  | 10.2 |

## Growth (%)

|                  |       |      |      |      |      |
|------------------|-------|------|------|------|------|
| Revenue          | 33.8  | 16.4 | 8.7  | 16.0 | 9.2  |
| EBITDA           | 50.2  | 7.5  | 16.6 | 18.5 | 10.4 |
| Normalised EPS   | 143.8 | 41.9 | 13.8 | 24.3 | 14.1 |
| Normalised FDEPS | 143.8 | 41.9 | 13.8 | 24.3 | 14.1 |

Source: Company data, Nomura estimates

## Cashflow statement (CNYmn)

| Year-end 31 Dec             | FY24   | FY25   | FY26F  | FY27F   | FY28F   |
|-----------------------------|--------|--------|--------|---------|---------|
| EBITDA                      | 4,914  | 5,283  | 6,159  | 7,299   | 8,058   |
| Change in working capital   | 262    | 1,837  | -3,346 | -821    | -531    |
| Other operating cashflow    | 27     | 64     | -337   | -525    | -599    |
| Cashflow from operations    | 5,203  | 7,183  | 2,476  | 5,953   | 6,927   |
| Capital expenditure         | -1,531 | -1,913 | -2,500 | -2,200  | -1,500  |
| Free cashflow               | 3,672  | 5,270  | -24    | 3,753   | 5,427   |
| Reduction in investments    | 0      | 0      | 0      | 0       | 0       |
| Net acquisitions            | -1,473 | -1,356 | -50    | -50     | -50     |
| Dec in other LT assets      | 0      | 0      | 0      | 0       | 0       |
| Inc in other LT liabilities | 0      | 0      | 0      | 0       | 0       |
| Adjustments                 | -481   | -683   | 0      | 0       | 0       |
| CF after investing acts     | 1,718  | 3,231  | -74    | 3,703   | 5,377   |
| Cash dividends              | -104   | -264   | -354   | -436    | -542    |
| Equity issue                | -203   | -955   | 0      | 0       | 0       |
| Debt issue                  | 1,966  | 276    | 0      | 0       | 0       |
| Convertible debt issue      |        |        |        |         |         |
| Others                      | -2,663 | -1,215 | 0      | 0       | 0       |
| CF from financial acts      | -1,004 | -2,157 | -354   | -436    | -542    |
| Net cashflow                | 714    | 1,074  | -428   | 3,267   | 4,835   |
| Beginning cash              | 6,825  | 7,538  | 8,612  | 8,185   | 11,452  |
| Ending cash                 | 7,538  | 8,612  | 8,185  | 11,452  | 16,287  |
| Ending net debt             | -5,810 | -8,229 | -7,802 | -11,069 | -15,904 |

## Balance sheet (CNYmn)

| As at 31 Dec               | FY24   | FY25   | FY26F  | FY27F  | FY28F  |
|----------------------------|--------|--------|--------|--------|--------|
| Cash & equivalents         | 7,538  | 8,612  | 8,185  | 11,452 | 16,287 |
| Marketable securities      | 5      | 13     | 13     | 13     | 13     |
| Accounts receivable        | 9,371  | 8,982  | 9,684  | 11,236 | 12,272 |
| Inventories                | 3,938  | 4,532  | 4,770  | 5,545  | 6,079  |
| Other current assets       | 50     | 63     | 63     | 63     | 63     |
| Total current assets       | 20,902 | 22,202 | 22,715 | 28,308 | 34,714 |
| LT investments             | 0      | 0      | 60     | 130    | 200    |
| Fixed assets               | 17,884 | 18,329 | 17,822 | 16,741 | 14,771 |
| Goodwill                   | 2,093  | 2,283  | 2,283  | 2,283  | 2,283  |
| Other intangible assets    |        |        |        |        |        |
| Other LT assets            | 5,821  | 6,164  | 9,254  | 9,254  | 9,254  |
| Total assets               | 46,700 | 48,978 | 52,134 | 56,715 | 61,222 |
| Short-term debt            | 1,728  | 383    | 383    | 383    | 383    |
| Accounts payable           | 9,558  | 11,682 | 9,276  | 10,781 | 11,821 |
| Other current liabilities  | 304    | 235    | 235    | 235    | 235    |
| Total current liabilities  | 11,590 | 12,300 | 9,894  | 11,399 | 12,439 |
| Long-term debt             | 0      | 0      | 0      | 0      | 0      |
| Convertible debt           |        |        |        |        |        |
| Other LT liabilities       | 11,993 | 11,735 | 11,735 | 11,735 | 11,735 |
| Total liabilities          | 23,583 | 24,035 | 21,629 | 23,134 | 24,174 |
| Minority interest          |        |        |        |        |        |
| Preferred stock            | 0      | 0      | 0      | 0      | 0      |
| Common stock               | 97     | 97     | 97     | 97     | 97     |
| Retained earnings          | 22,657 | 24,260 | 29,821 | 32,897 | 36,365 |
| Proposed dividends         |        |        |        |        |        |
| Other equity and reserves  | 362    | 587    | 587    | 587    | 587    |
| Total shareholders' equity | 23,117 | 24,943 | 30,505 | 33,581 | 37,049 |
| Total equity & liabilities | 46,700 | 48,978 | 52,134 | 56,715 | 61,222 |

## Liquidity (x)

|                |      |      |      |      |      |
|----------------|------|------|------|------|------|
| Current ratio  | 1.80 | 1.81 | 2.30 | 2.48 | 2.79 |
| Interest cover | 5.0  | 6.6  | 7.3  | 8.7  | 10.0 |

## Leverage

|                     |          |          |          |          |          |
|---------------------|----------|----------|----------|----------|----------|
| Net debt/EBITDA (x) | net cash | net cash | net cash | net cash | net cash |
| Net debt/equity (%) | net cash | net cash | net cash | net cash | net cash |

## Per share

|                    |       |       |       |       |       |
|--------------------|-------|-------|-------|-------|-------|
| Reported EPS (CNY) | 1.53  | 2.18  | 2.48  | 3.08  | 3.51  |
| Norm EPS (CNY)     | 1.53  | 2.18  | 2.48  | 3.08  | 3.51  |
| FD norm EPS (CNY)  | 1.53  | 2.18  | 2.48  | 3.08  | 3.51  |
| BVPS (CNY)         | 19.69 | 21.25 | 25.98 | 28.60 | 31.56 |
| DPS (CNY)          | 0.09  | 0.22  | 0.30  | 0.37  | 0.46  |

## Activity (days)

|                 |       |       |       |       |       |
|-----------------|-------|-------|-------|-------|-------|
| Days receivable | 107.0 | 105.3 | 98.5  | 95.1  | 98.2  |
| Days inventory  | 59.4  | 62.3  | 64.1  | 61.1  | 63.0  |
| Days payable    | 131.6 | 156.3 | 144.3 | 118.8 | 122.5 |
| Cash cycle      | 34.8  | 11.3  | 18.2  | 37.4  | 38.7  |

Source: Company data, Nomura estimates

## Company profile

AAC is a leading acoustic component maker, and is rapidly developing optics business in recent years. AAC is gaining share in plastic lenses and also works on proprietary WLG technology.

## Valuation Methodology

Our TP of HKD62 is based on 18x 2027F EPS of CNY3.08. The P/E multiple of 18x is around the mid-to-high range of its historical P/E range of 10-25x in the past 10 years. The benchmark index for this stock is Hang Seng Index.

## Risks that may impede the achievement of the target price

Downside risks to our investment view include: 1) lower growth from smartphone acoustic parts; 2) market share loss in acoustics and haptics; 3) worse-than-expected margins or yield rates for new products; and 4) weaker-than-expected macro conditions.

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## ESG

AAC's majority bases has been certificated by the environmental management system ISO14001, and the company also requires its vendors to be certificated by ISO14001. AAC committed to establish itself to become strong player with minimum negative environment effects. To reduce the energy consumption and greenhouse emission, AAS implements renewable energy and makes efforts to improve efficiency of energy utilization.

Fig. 1: AAC – 1H26 results

| (CNY mn)           | 1H26 results | NMR    | Diff %            | 1H26 consensus | Diff %            | 2H25   | h-h(%) | 1H25   | y-y(%) |
|--------------------|--------------|--------|-------------------|----------------|-------------------|--------|--------|--------|--------|
| Total revenue      | 14,506       | 15,120 | (4.1)             | 15,364         | (5.6)             | 18,498 | (21.6) | 13,319 | 8.9    |
| Gross profit       | 3,244        | 3,362  | (3.5)             | 3,365          | (3.6)             | 4,262  | (23.9) | 2,754  | 17.8   |
| Operating profit   | 960          | 1,219  | (21.2)            | 1,168          | (17.8)            | 1,814  | (47.1) | 776    | 23.8   |
| Pretax profit      | 1,015        | 1,189  | (14.6)            | 1,152          | (11.9)            | 1,852  | (45.2) | 1,035  | (1.9)  |
| Net profit         | 901          | 1,034  | (12.9)            | 989            | (8.9)             | 1,636  | (44.9) | 876    | 2.9    |
| EPS (CNY)          | 0.79         | 0.89   |                   | 0.85           | (6.8)             | 1.42   |        | 0.76   |        |
| <b>Margins (%)</b> |              |        | <b>Diff (ppt)</b> |                | <b>Diff (ppt)</b> |        |        |        |        |
| Gross margin       | 22.4         | 22.2   | 0.1               | 21.9           | 0.5               | 23.0   | (0.7)  | 20.7   | 1.7    |
| Operating margin   | 6.6          | 8.1    | (1.4)             | 7.6            | (1.0)             | 9.8    | (3.2)  | 5.8    | 0.8    |
| Pretax margin      | 7.0          | 7.9    | (0.9)             | 7.5            | (0.5)             | 10.0   | (3.0)  | 7.8    | (0.8)  |
| Net margin         | 6.2          | 6.8    | (0.6)             | 6.4            | (0.2)             | 8.8    | (2.6)  | 6.6    | (0.4)  |

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: AAC – Forecast revisions

| (CNY mn)           | New forecasts |        |        | Previous forecasts |        |       | Change (%) |       |       |
|--------------------|---------------|--------|--------|--------------------|--------|-------|------------|-------|-------|
|                    | 2026F         | 2027F  | 2028F  | 2026F              | 2027F  | 2028F | 2026F      | 2027F | 2028F |
| Revenue            | 34,584        | 40,127 | 43,828 | 35,795             | 38,431 | n.a.  | (3.4)      | 4.4   | n.a.  |
| Gross profit       | 8,082         | 9,324  | 10,054 | 8,434              | 8,945  | n.a.  | (4.2)      | 4.2   | n.a.  |
| Operating profit   | 3,153         | 4,017  | 4,589  | 3,723              | 3,870  | n.a.  | (15.3)     | 3.8   | n.a.  |
| Pretax profit      | 3,227         | 4,037  | 4,609  | 3,663              | 3,810  | n.a.  | (11.9)     | 6.0   | n.a.  |
| Net profit         | 2,826         | 3,513  | 4,010  | 3,187              | 3,315  | n.a.  | (11.3)     | 6.0   | n.a.  |
| EPS (CNY)          | 2.48          | 3.08   | 3.51   | 2.75               | 2.86   | n.a.  |            |       |       |
| <b>Margins (%)</b> |               |        |        |                    |        |       |            |       |       |
| Gross margin       | 23.4          | 23.2   | 22.9   | 23.6               | 23.3   | n.a.  | (0.2)      | (0.0) | n.a.  |
| Operating margin   | 9.1           | 10.0   | 10.5   | 10.4               | 10.1   | n.a.  | (1.3)      | (0.1) | n.a.  |
| Pretax margin      | 9.3           | 10.1   | 10.5   | 10.2               | 9.9    | n.a.  | (0.9)      | 0.1   | n.a.  |
| Net margin         | 8.2           | 8.8    | 9.1    | 8.9                | 8.6    | n.a.  | (0.7)      | 0.1   | n.a.  |

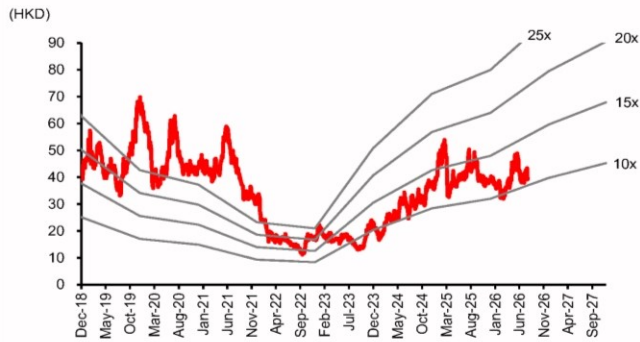
Source: Company data, Nomura estimates

Fig. 3: AAC – Semi-annual forecasts

| (CNY mn)                    | 1H25     | 2H25     | 2025     | 1H26     | 2H26F    | 2026F    | 1H27F    | 2H27F    | 2027F    | 1H28F    | 2H28F    | 2028F    |
|-----------------------------|----------|----------|----------|----------|----------|----------|----------|----------|----------|----------|----------|----------|
| Net revenue                 | 13,319   | 18,498   | 31,817   | 14,506   | 20,078   | 34,584   | 16,072   | 24,055   | 40,127   | 17,813   | 26,015   | 43,828   |
| COGS                        | (10,565) | (14,236) | (24,801) | (11,262) | (15,240) | (26,503) | (12,542) | (18,261) | (30,804) | (13,911) | (19,863) | (33,774) |
| Gross profit                | 2,754    | 4,262    | 7,016    | 3,244    | 4,838    | 8,082    | 3,530    | 5,794    | 9,324    | 3,902    | 6,152    | 10,054   |
| Op expenses                 | (1,978)  | (2,449)  | (4,427)  | (2,284)  | (2,645)  | (4,929)  | (2,459)  | (2,848)  | (5,306)  | (2,532)  | (2,933)  | (5,466)  |
| Op profit                   | 776      | 1,814    | 2,590    | 960      | 2,192    | 3,153    | 1,071    | 2,946    | 4,017    | 1,370    | 3,219    | 4,589    |
| Non-op profit               | 259      | 38       | 297      | 55       | 20       | 75       | 10       | 10       | 20       | 10       | 10       | 20       |
| Pretax profit               | 1,035    | 1,852    | 2,887    | 1,015    | 2,212    | 3,227    | 1,081    | 2,956    | 4,037    | 1,380    | 3,229    | 4,609    |
| Net profit                  | 876      | 1,636    | 2,512    | 901      | 1,925    | 2,826    | 941      | 2,572    | 3,513    | 1,200    | 2,809    | 4,010    |
| EPS (CNY)                   | 0.76     | 1.42     | 2.18     | 0.79     | 1.69     | 2.48     | 0.82     | 2.25     | 3.08     | 1.05     | 2.46     | 3.51     |
| <b>Operating ratios (%)</b> |          |          |          |          |          |          |          |          |          |          |          |          |
| Gross margin                | 20.7%    | 23.0%    | 22.1%    | 22.4%    | 24.1%    | 23.4%    | 22.0%    | 24.1%    | 23.2%    | 21.9%    | 23.6%    | 22.9%    |
| Operating margin            | 5.8%     | 9.8%     | 8.1%     | 6.6%     | 10.9%    | 9.1%     | 6.7%     | 12.2%    | 10.0%    | 7.7%     | 12.4%    | 10.5%    |
| Pretax profit margin        | 7.8%     | 10.0%    | 9.1%     | 7.0%     | 11.0%    | 9.3%     | 6.7%     | 12.3%    | 10.1%    | 7.7%     | 12.4%    | 10.5%    |
| Net profit margin           | 6.6%     | 8.8%     | 7.9%     | 6.2%     | 9.6%     | 8.2%     | 5.9%     | 10.7%    | 8.8%     | 6.7%     | 10.8%    | 9.1%     |
| <b>Year-to-year (%)</b>     |          |          |          |          |          |          |          |          |          |          |          |          |
| Net revenue                 | 18%      | 15%      | 16%      | 9%       | 9%       | 9%       | 11%      | 20%      | 16%      | 11%      | 8%       | 9%       |
| Gross profit                | 14%      | 18%      | 16%      | 18%      | 14%      | 15%      | 9%       | 20%      | 15%      | 11%      | 6%       | 8%       |
| Operating profit            | 28%      | 23%      | 25%      | 24%      | 21%      | 22%      | 12%      | 34%      | 27%      | 28%      | 9%       | 14%      |
| Pretax profit               | 65%      | 36%      | 45%      | -2%      | 19%      | 12%      | 7%       | 34%      | 25%      | 28%      | 9%       | 14%      |
| Net profit                  | 63%      | 30%      | 40%      | 3%       | 18%      | 13%      | 4%       | 34%      | 24%      | 28%      | 9%       | 14%      |
| <b>Half-to-Half (%)</b>     |          |          |          |          |          |          |          |          |          |          |          |          |
| Net revenue                 | -17%     | 39%      |          | -22%     | 38%      |          | -20%     | 50%      |          | -26%     | 46%      |          |
| Gross profit                | -24%     | 55%      |          | -24%     | 49%      |          | -27%     | 64%      |          | -33%     | 58%      |          |
| Operating profit            | -47%     | 134%     |          | -47%     | 128%     |          | -51%     | 175%     |          | -54%     | 135%     |          |
| Pretax profit               | -24%     | 79%      |          | -45%     | 118%     |          | -51%     | 173%     |          | -53%     | 134%     |          |
| Net profit                  | -31%     | 87%      |          | -45%     | 114%     |          | -51%     | 173%     |          | -53%     | 134%     |          |

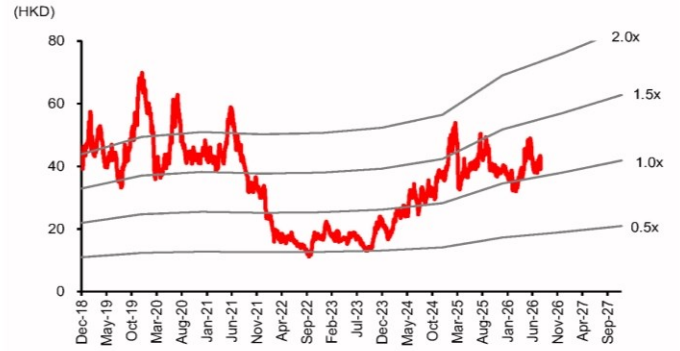
Source: Company data, Nomura estimates

**Fig. 4: AAC – P/E band**



Source: Bloomberg Finance L.P., Nomura estimates

**Fig. 5: AAC – P/B band**



Source: Bloomberg Finance L.P., Nomura estimates

# Appendix A-1

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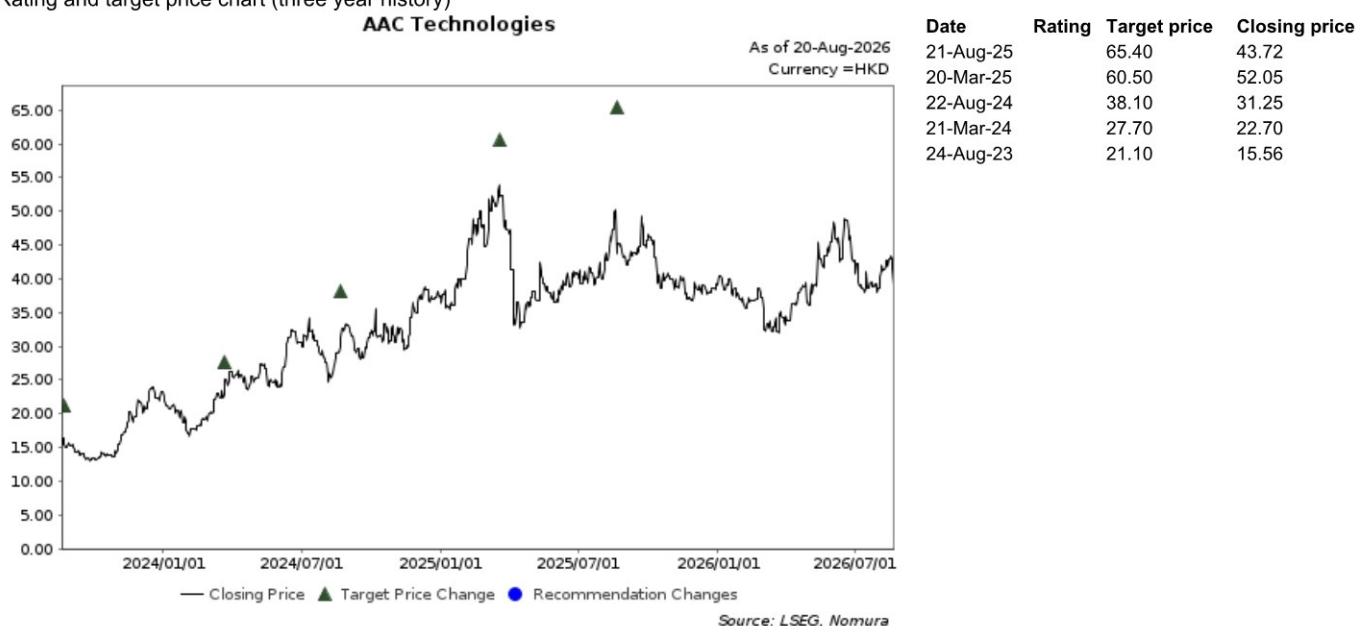
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| Issuer           | Ticker  | Price     | Price date  | Stock rating | Sector rating | Disclosures |
|------------------|---------|-----------|-------------|--------------|---------------|-------------|
| AAC Technologies | 2018 HK | HKD 39.12 | 20-Aug-2026 | Buy          | N/A           |             |

### AAC Technologies (2018 HK)

HKD 39.12 (20-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

**Valuation Methodology** Our TP of HKD62 is based on 18x 2027F EPS of CNY3.08. The P/E multiple of 18x is around the mid-to-high range of its historical P/E range of 10-25x in the past 10 years. The benchmark index for this stock is Hang Seng Index.  
**Risks that may impede the achievement of the target price** Downside risks to our investment view include: 1) lower growth from smartphone acoustic parts; 2) market share loss in acoustics and haptics; 3) worse-than-expected margins or yield rates for new products; and 4) weaker-than-expected macro conditions.

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As at 30 June 2026.

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